EG India, Brazil: Higher ethanol flex fuel mandate will be delayed for at least a year

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【要点】

・インド政府はガソリンへのエタノール混合率を25%に引き上げるE25燃料の義務化を少なくとも1年以上延期し、段階的な政策措置を優先することを決定した。

・E25義務化は自動車業界の強い反発と、古い車両の改造に伴う腐食や燃費低下への消費者の懸念により放棄された。

・エタノール政策担当大臣の親族がエタノール事業に関わる企業で働いていたという報告も義務化の断念につながった。

・政府は今後、E25からE85までの複数のエタノール混合燃料の標準設定に限定し、新型車のみに適用する方針に転換した。

・国内エタノール需要の減少により、インドへのエタノール輸入解禁やG20主導のグローバルバイオ燃料同盟での国際取引標準設定に関する政策議論も遅延する。

【メール原文】

India, Brazil

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* Prime Minister Narendra Modi’s government remains committed to expanding ethanol use despite abandoning plans to fast-track a mandatory E25 blend requirement for automobiles—a standard calling for 25% ethanol and 75% petroleum.
* A series of policy measures to pave the way for a smooth ethanol transition to blends above E20 will follow before any new mandate is considered, which could take at least another year.
* The resulting decline in domestic ethanol demand will also delay a broader policy debate about opening up India to ethanol imports and setting international trading standards under a Global Biofuel Alliance, a G20 initiative led by India and Brazil.

The energy crisis had prompted the government to accelerate plans for E25. Expanding the ethanol share beyond 20%—the E20 standard was introduced in 2025—has been a long-standing government objective. Heightened concern over India's dependence on oil imports during the crisis created an opening to push for a higher E25 flex-fuel requirement. The E20 program is believed to have displaced more than 31 million metric tonnes (MMT) of crude oil and reduced carbon emissions by more than 95 MMT.

Petroleum and Natural Gas Minister Hardeep Singh Puri drove the policy change. He has faced criticism for the severe Liquefied Petroleum Gas (LPG) shortage India experienced during the Iran war because of a lack of LPG reserves. Road Transport Minister Nitin Gadkari, whose constituency has a large population engaged in sugar and ethanol production, also backed the E25 proposal. However, the decision to mandate retrofitting of older vehicles to E25 triggered strong resistance from the car industry. Car owners also pushed back over concerns about corrosion, lower mileage, and vehicle performance.

The proposal faced another setback when reports emerged that two of Gadkari's sons worked at firms involved in the ethanol business. Together, these factors pushed the government to abandon the new mandate. Instead, authorities limited the policy to setting standards for several levels of ethanol flex fuels, from E25 to E85.

The government will not seek to increase ethanol usage for cars for at least a year. If it does so afterward, it will probably apply the rule to new vehicles only. Addressing public skepticism about the effect of ethanol blending on vehicles will be the first obstacle. Handling older vehicles will be a major challenge, as the auto industry will resist retrofitting unless the government pays for it. The Modi government, which presents itself as a champion for aspirational voters, will also be reluctant to anger car owners.

The haste with which the present policy was put together also exposed a host of smaller regulatory and infrastructure issues that need to be resolved. These include more accurate instrumentation for measuring ethanol content, a better understanding of which agricultural crops can be diverted for ethanol production without affecting food prices, and clearer regulatory and legal guidelines to reduce the risk of court challenges.

Officials will take a more systematic approach to the issue. A study, supported by both the car industry and government, on the effects of ethanol blends above E20 on a car's performance and mileage will be released in the next six months. A series of policy measures to pave the way for a smooth ethanol transition will follow, which could take another year. As it is, existing lawsuits have affected the tendering process so badly this quarter that India will struggle to maintain E20 blends in the coming few months.

Modi will remain committed to expanding ethanol use, especially after the energy problems caused by the Iran war. However, the government will not rush its plans. While Modi himself campaigned for the E20 blend, there is no senior political champion for E25 or higher at present. The government will introduce ethanol-fueled stovetops in rural India in a few months to generate additional demand for the fuel. In any case, India's excess ethanol is likely to be sharply reduced as the El Niño effect cuts into sugar and maize production (the two main sources of ethanol in India) over the next three years, as has been the pattern in the past.

The collapse of the E25 proposal will also delay a broader policy debate about opening up India to ethanol imports and setting international trading standards under a Global Biofuel Alliance, a G20 proposal by India and Brazil.

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